



**MASENO UNIVERSITY**  
**UNIVERSITY EXAMINATIONS 2023/2024**

**SECOND YEAR SECOND SEMESTER EXAMINATION FOR  
THE DEGREE OF BACHELOR OF SCIENCE IN FINANCE  
WITH INFORMATION TECHNOLOGY**

**KISUMU CAMPUS**

**BAF 203: ACCOUNTING FOR ASSETS**

Date: 27<sup>th</sup> April, 2024

Time: 9.00 - 12.00pm

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**INSTRUCTIONS:**

- Do not write anywhere on this Question paper
- Answer Question ONE and any other THREE.





### QUESTION ONE (COMPULSORY)

Mysore Mining Company took a mine on lease for a period of 20 years at a royalty of Shs. 1 per ton. The minimum rent was fixed at Shs. 4,000 for the first year. Shs. 6,000 for the second year and Shs. 8,000 per year thereafter. Short working of any year could be recouped with the life time of the lease.

The production for the first five years was as follows:

| Year                    | 1     | 2     | 3     | 4     | 5      |
|-------------------------|-------|-------|-------|-------|--------|
| Production<br>(in tons) | 2,000 | 4,500 | 6,000 | 9,000 | 12,000 |

#### Required: Prepare:

- i) Minimum Rent Account (2mks)
- ii) Royalty Account (6mks)
- iii) Shortworking Account (6mks)
- iv) Landlord Account in the books of Mysore Mining Company (2mks)

#### b) Write short notes on:

- i. A lessee (2mks)
- ii. Recoupment of short working? (2mks)
- iii. Short working (3mks)
- iv. Minimum rent (2mks)

### QUESTION TWO

a) On 1<sup>st</sup> April 2020, XY Ltd has 15,000 Equity Shares of ABC Ltd at a book value of Shs. 15 per share (normal value Shs. 10 per share). On 1<sup>st</sup> June, 2020 XY Ltd acquired 5,000 equity shares of ABC Ltd for Shs. 100,000. ABC Ltd announced a bonus and right issue.

1. Bonus was declared at the rate of one equity share for every five (5) shares held on 1<sup>st</sup> July, 2020
2. Right share are to be issued to the existing shareholders on 1<sup>st</sup> September, 2020. The company will issue one right share for 6 shares at 20% premium. No dividend was payable on these shares.
3. Dividend for the year ended 31.03.2020 were declared by ABC Ltd @ 20% which was received by XY Ltd on 31<sup>st</sup> October, 2020.



**XY Ltd:**

- i) Took up half of the right issue
- ii) Sold the remaining rights for Shs. 8 per share
- iii) Sold half of its shareholdings on 1<sup>st</sup> January, 2021 at Shs. 16.50 per share. Brokerage being 1%

**Required:**

Prepare investment account of XY Ltd for the year ended 31<sup>st</sup> March 2021 assuming shares are being valued at average cost (8mks)

- b) Explain the following terms: (i) cum-dividend purchase / interest, (ii) Ex-dividend purchase / interest (3mks)
- c) Briefly explain classification of investment as per AS 13 (4mks)

**QUESTION THREE**

- a) The summarized balance sheet of Kamau Ltd as on 31/12/2020 and 31/12/2021 are as follows

| Assets            | 2020           | 2021           | Liabilities              | 2020           | 2021           |
|-------------------|----------------|----------------|--------------------------|----------------|----------------|
| Building          | 46,800         | 45,000         | Share capital            | 100,000        | 100,000        |
| Plant & Machinery | 38,280         | 42,030         | General reserve          | 38,400         | 42,000         |
| Good will         | 13,000         | 13,000         | Creditors                | 9,750          | 6,380          |
| Investment        | 10,000         | 11,250         | Tax provision            | 19,000         | 21,000         |
| Stock             | 30,000         | 28,000         | Prov. For doubtful debts | 1,000          | 1,200          |
| Debtors           | 22,070         | 22,300         |                          |                |                |
| Cash              | 8,000          | 9,000          |                          |                |                |
|                   | <b>168,150</b> | <b>170,580</b> |                          | <b>168,150</b> | <b>170,580</b> |

**Additional information**

1. The profit for 2020-2021 was Shs. 8,600 against this had been charged as depreciation Kshs. 3,050 and increase in provision for doubtful debt Kshs. 1,200
2. Income tax Shs. 18,000 was paid during the year charged against the provision and in addition Kshs. 20,000 was charged against profit and carried to the provision.
3. An interim dividend of Kshs. 5,000 was paid in January 2021.
4. Additional plant was purchased in September 2020 for Kshs. 5,000



5. Investment (cost of Kshs. 5,000) were sold 2021 for Shs. 4,800 and on 1<sup>st</sup> March 2021 another investment was made for Kshs. 6,250

**Required**

Prepare a cash flow statement for the year ending 31/12/2021 (11 marks)

- b) Briefly explain the significance of cash flow statement (4 marks)

**QUESTION FOUR**

- a) In a factory component A is used as follows:

Normal usage – 50kg per week

Minimum usage – 25kg per week

Maximum usage = 75 per week

Re-order quantity 300kg

Re-order period 4 to 6 weeks

**Required:**

- |                         |        |
|-------------------------|--------|
| i) Re-order level       | (2mks) |
| ii) Maximum level       | (2mks) |
| iii) Minimum level      | (2mks) |
| iv) Average stock level | (3mks) |

- b) The stock of materials as on 1<sup>st</sup> April was 200 units at Shs. 2 each. The following purchases and issue were made:

April 5<sup>th</sup> purchases 100 units @ Shs. 2.20 each

April 10<sup>th</sup> purchases 150 units @ Shs. 2.40 each

April 20<sup>th</sup> purchases 180 units @ Shs. 2.50 each

April 2<sup>nd</sup> Issues 150 units

April 7<sup>th</sup> Issues 100 units

April 12<sup>th</sup> Issues 100 units

April 28<sup>th</sup> Issues 200 units

**Required**

Prepare Stores Ledger Account under:

- |                 |        |
|-----------------|--------|
| i) FIFO         | (4mks) |
| ii) LIFO method | (4mks) |



### QUESTION FIVE

- a) Discuss five reasons why small-scale farmers in Kenya should keep farm records (5mks)
- b) From the following information given by Moses for the year ended 31<sup>st</sup> March, 2019 workers and proprietor have consumed the following items:

|                                  | Workers                         | Proprietor                       |
|----------------------------------|---------------------------------|----------------------------------|
|                                  | Kshs                            | Kshs                             |
| Milk                             | 1,750                           | 1,500                            |
| Poultry                          | 1,200                           | 600                              |
| Crops                            | 2,400                           | 1,250                            |
|                                  | <b>Stock as on<br/>1/4/2018</b> | <b>Stock as on<br/>31/3/2019</b> |
|                                  | Kshs                            | Kshs                             |
| Crops                            | 3,900                           | 4,100                            |
| Seeds                            | 1,800                           | 2,250                            |
| Cattle                           | 71,000                          | 102,000                          |
| Growing crops                    | 3,000                           | 3,900                            |
| Cattle feed                      | 10,000                          | 7,500                            |
| Poultry                          | 9,000                           | 12,000                           |
| Fertilizers                      | 3,800                           | 3,900                            |
| Poultry feed                     | 1,100                           | 2,300                            |
| <b>Purchases during the year</b> | <b>Kshs.</b>                    |                                  |
| Seeds                            | 1,250                           |                                  |
| Cattle                           | 40,000                          |                                  |
| Poultry                          | 15,000                          |                                  |
| Fertilizers                      | 4,000                           |                                  |
| Cattle feed                      | 14,000                          |                                  |
| Poultry feed                     | 3,000                           |                                  |
| <b>Sales during the year</b>     | <b>Kshs.</b>                    |                                  |
| Cattle                           | 37,500                          |                                  |
| Eggs                             | 15,000                          |                                  |
| Crops                            | 22,500                          |                                  |
| Poultry                          | 13,000                          |                                  |
| Milk                             | 11,000                          |                                  |

#### Required:

Prepare Farm Accounts for the year ended 31<sup>st</sup> March, 2019

(10mks)

### QUESTION SIX

- a) On April 1, 2020 BIDCO purchased a machine for Shs. 280,000 and spend Shs. 10,000 on its carriage and Shs. 10,000 on its installation. It is estimated that its working life is 10 years, its scrap value will be Shs. 20,000 and depreciation was provided. Using Straight Line Method:

**Required: Prepare**

- i) Machine Account (4marks)
  - ii) Depreciation Account (3marks)
  - iii) Provision for depreciation Account for the first four years ending on March 31<sup>st</sup> every year. (3marks)
- b) Briefly explain the reasons for revaluation of Non-Current Assets. (2marks)
- c) Discuss the meaning of the terms: Cash and Cash Equivalent by giving examples (2marks)





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### QUESTION ONE (COMPULSORY)

- a) James Mbuvi started a taxi business in Nairobi March 2018 under the firm name Mbuvi Taxis. The firm had two vehicles KA and KB which had been purchased for Sh. 560,000 and Sh. 720,000 respectively earlier in the year. In February 2020 vehicle KB was involved in an accident and was written off. The insurance company paid the firm sh. 160,000 for the vehicle. In the same year the firm purchased two vehicles, KC and KD for sh. 800,000 each.

In November 2021 vehicle KC was sold for sh. 716,000. In January 2022 vehicle KE was purchased for sh. 840,000. In March 2022 another vehicle KF was purchased for sh. 960,000

The firm's policy is to depreciate vehicles at the rate of 25% on cost on vehicles on hand at the end of the year irrespective of the date of purchase. Depreciation is not provided for vehicle disposed off during the year. The firm's year ends on 31<sup>st</sup> December.

#### Required:

- i) Calculate the amount of depreciation charged in the profit and loss account for each of the five years (2018-2022). (5marks)
  - ii) Prepare motor vehicle account at cost (2018-2022). (10marks)
  - iii) Prepare provision for depreciation account (2018-2022). (5marks)
- b) Explain the reasons for providing a depreciation provision for non-current assets. (5marks)

### QUESTION TWO

- a) D Limited issued 20,000 Equity shares of Sh. 10 each at a premium of sh. 5 per share payable as ;-
- On Application sh. 6 (Including premium Sh. 3)
  - On Allotment sh. 5 (Including premium Sh. 2)
  - Balance in second calls.

The applications were received for 35000 shares. The allotment was made as follows:

Category A – Application 5000 full allotment

Category B – Application 20,000 shares allotted 15000 shares on pro-rata basis



Category C – Applications 10,000 shares rejected

Excess amount received on application was adjusted against allotment money due. Both the calls made. One shareholder holding 500 shares failed to pay 2<sup>nd</sup> call. His shares were forfeited and reissued later at sh. 9 per share.

**Required:**

- i) Give necessary journal entries in the books of D Ltd. (6marks)
  - ii) Balance sheet as on that date. (3marks)
- b) “Shares are units of equity ownership in a corporation. For some companies, shares exist as a financial asset providing for an equal distribution of any residual profits, if any are declared, in the form of dividends. Shareholders of a stock that pays no dividends do not participate in a distribution or profits”

**Required:**

- i) Explain the MAIN stages of issuing of ordinary shares, after the initial invitation has been made to the public to buy shares through means of advertisements (3marks)
- ii) Explain what would make a company issue shares at a premium (3marks)

**QUESTION THREE**

- a) Earnings Per Share (EPS) is generally regarded as a key accounting ratio for use by investors and others. Like all accounting ratios, however, it has its limitations. You have been asked to make a brief presentation to CIMA students on the topic.

**Required:**

- (i) Explain why EPS is regarded as so important that the IASB has issued an accounting standard on its calculation. (2marks)
- (ii) Explain various types of capital of a company. (5marks)

**b) The following information was given by Sam Park Ltd.**

|                                                      |                |
|------------------------------------------------------|----------------|
| Net profit for the current year                      | Sh. 25,000,000 |
| Number of Equity shares outstanding                  | 5,000,000      |
| Number of 12% convertible debentures of sh. 100 each | 50,000         |



Each debentures is convertible into 8 Equity shares

Interest expenses for the current year 600,000

Tax saving relating to interest expense (30%) 180,000

**Required:**

Calculate:

(i) Basic Earnings per share (EPS) (2marks)

(ii) Diluted Earnings per share (2marks)

**QUESTION FOUR**

a) AB Ltd furnishes the following income statement for the year ending 31<sup>st</sup> March 2022 on the basis of convention at accounting.

| Particulars               | Ksh     | Ksh           |
|---------------------------|---------|---------------|
| Sales                     |         | 180,000       |
| Less: Cost of goods sold: |         |               |
| Opening stock             | 16,000  |               |
| Add Purchases             | 120,000 |               |
| Less: Closing stock       |         | 124,000       |
|                           |         | <b>56,000</b> |
| Less: Expenses            |         |               |
| Wages and salaries        | 12,000  |               |
| Other expenses            | 9,000   |               |
| Depreciation on building  | 1,400   |               |
| Interest                  | 600     | 23,000        |
| Net income                |         | 33,000        |
| Less: Dividend            |         | 8,000         |
| <b>Retained Earnings</b>  |         | <b>25,000</b> |

**Additional information**

1. Index of general price level was on 1<sup>st</sup> April, 2019 as 200 and on 31<sup>st</sup> March 2022 as 400 and Average index was 300.
2. Interest and dividend are paid at the end of the year.
3. Index was 100 while building purchased

**Required:**

You are required to adjust the same for price level changes under CPP method.

**(5marks)**



b) The following information regarding the change in the price for the year ending 31<sup>st</sup> December 2022.

| Monetary Items       | 1/1/2022<br>Sh | 31/12/2022<br>Sh |
|----------------------|----------------|------------------|
| Cash                 | 8,000          | 10,000           |
| Debtors              | 25,000         | 30,000           |
| Public Deposits      | 30,000         | 30,000           |
| Creditors            | 20,000         | 30,000           |
| Consumer price index |                |                  |
| Number are:          |                | 33,000           |
| On 1/1/2022          | 100            |                  |
| On 3/12/2022         | 150            |                  |
| Average for the year | 120            |                  |

**Required:**

Compute the net monetary gain or loss as per the CPP method. **(5marks)**

c) The following are the records of ABC Company for the year ending 31<sup>st</sup> 2022.

|                                             |             |
|---------------------------------------------|-------------|
| Inventory as on January 1, 2022             | Ksh80,000   |
| Purchases during 2022                       | Ksh 480,000 |
| Inventory as on 31 <sup>st</sup> Dec        | Ksh120,000  |
| Price index, January 1, 2022                | Ksh100      |
| Price index, December 31 <sup>st</sup> 2022 | Ksh 140     |
| Average Price index, 2022                   | Ksh125      |

**Required:**

Calculate cost of the sales and closing inventory under CPP method assuming that the firm following LIFO method. **(5marks)**

**QUESTION FIVE**

a) Odwira Ltd operates in the mining industry with a financial year end 31 December, 2022.

On 1 January, 2020, Odwira Ltd began to lease a group of machines that were used in the production process. The lease was for five years, and the total



annual rental (payable in arrears) was sh.8 million. The lessor paid sh.30 million for the machines on 31 December 2020. The lessor has advised Odwira Ltd that the interest rate implicit in the lease can be taken as 10%. The estimated useful economic life of the machines were five years.

**Required:**

In accordance with IFRS 16: Leases, show the accounting treatment of the above transaction (i) Calculation of status of the lease. (ii) Finance charges included in every installment. **(6marks)**

- b) Kisian Nyale Limited is a company located at the junction of Bondo and Busia Road and specialized in hiring out non-current assets for farming business. The company acquires an asset under a finance lease. The asset, has an expected useful life of 5 years, with a cash price of Shs. 2,180,000. The lease is for five years, with an annual payment of Shs. 600,000 in arrears. The implicit rate of interest in the lease is 12%.

**Required:**

Calculate the value at which the asset will be initially recorded in the accounts **(3marks)**

- c) Explain the key disclosure requirements for lease as a source of finance **(3marks)**

**QUESTION SIX**

- a) Explain briefly the term a contingent liability. **(5marks)**  
b) Explain the general criteria for recognizing Assets, Liabilities, Income and Expenses in financial statements. **(10marks)**